



Understanding Business Taxes

All businesses are required to pay tax. Understanding business taxes will ensure you pay the right amount at the right time. It will also help you to set aside enough money to meet your tax obligations.

Paying your taxes

As a business owner, you will be responsible for paying tax on profits. How much your business pays depends on how much profit you make, and the percentage of tax you pay on that profit depends on how you choose to structure your business—as a sole entity (or sole proprietor), a partnership, or a company (see pp.26–27). Each of these legal structures has tax advantages and disadvantages, so thoroughly research which one gives you the most favorable rate of tax for your expected earnings.

In your first year, as you set up your business, you will usually have high expenses. However, these expenses can be deducted from your income, leaving you with a lower tax bill at the end of the

year. This is difficult to predict, so it is important to monitor monthly profitability consistently (see pp.88–89) and set aside enough cash each month to pay your annual tax bill. You can complete your own tax return, but many business owners choose to appoint an accountant, who will advise on how to maximize any deductions you can claim.

“No government can exist without taxation.”

Frederick the Great



NEED TO KNOW

- **Capital gains tax (CGT)** is a tax on profits from selling capital assets such as land, buildings, stocks, and shares. Small businesses may be considered exempt or able to apply for discounted rates.
- **Tax threshold** is the amount that you or your business can earn before tax is payable, or before paying a higher rate of tax. A threshold of \$10,000 means that no tax is due on profits or income below that amount.
- **Dividend** is money paid by a company to shareholders from profit. Dividends are usually taxed at a lower rate than salary.

Calculating tax

Regardless of whether you have a company or operate as a sole proprietor or partnership, you will need to register to pay taxes and complete a tax return each year. On the return, you or your accountant have to show your income and then subtract expenses to find gross profit on which taxes will be calculated.

Revenue

Also called “turnover,” this is the total amount of money your business receives from its customers in payment for its products and services.



Expenses

These are the costs incurred by running your business—such as rent, wages, raw materials, and stationery. Investing in your business also counts as an expense.